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(in two parts)

Part 1



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posal for setting up non-governmental study groups to go into question. [14]

(B) Steel and equipment.

It is certain that one of major points which PM hopes to accomplish during visit is to emphasize to US Govt importance of increased steel allocations to UK. We have been told Brit are preparing detailed material for PM on this point, but have so far been unable to obtain this info. We also know that PM is considering some sort of proposal concerning tin. This may take form of agmt by UK to provide fixed quantity of tin over period of time at agreed price in hope that such an arrangement wld create favorable atmosphere in US for additional steel to Brit. Brit are aware that we may raise question of other scarce materials which they might supply us—such as additional small amounts of aluminum.

Under equipment heading we understand PM intends to raise question of increasing scale of military end item aid program to UK and broadening criteria (see section II 1 (A) Embtel 2898, December 28). Brit have repeatedly attempted to get US position on this point without success.

GIFFORD

[14] Not found in Department of State files.

No. 328

Editorial Note

In preparation for the Truman–Churchill talks the Department of State early in December 1951 established a Steering Group with representatives of the Departments of State, Defense, Treasury, and Commerce, the White House, Bureau of the Budget, Mutual Security Agency, Economic Cooperation Administration, Office of Defense Mobilization, and the Psychological Strategy Board. The Steering Group was charged with the responsibility of assigning drafting officers for the preparation of position papers (sometimes called negotiating papers) for the talks and with reviewing and amending them for use by President Truman and Secretary Acheson.

During the course of its work the Steering Group approved seven series of papers and one series of memoranda, the former designated TCT D–1 through 7 and the latter designated TCT Memo 1 through 13. The TCT D–1 series dealt with problems concerning the Soviet Union; the TCT D–2 series dealt with topics concerning United States–United Kingdom relations; TCT D–3 and D–4 dealt with European and Middle Eastern questions respectively; while

TCT D–5 and D–6 dealt with the Far East and NATO; the final series, TCT D–7, discussed raw materials and the British economic position. The TCT Memos considered the operation of the Steering Group, and were used as covering memoranda for miscellaneous documents relating to the talks.

The records of the Steering Group, sets of the TCT documents and memoranda, Department of Defense comments on various papers, minutes of the four formal meetings between President Truman and Prime Minister Churchill which follow, and six folders of miscellaneous documents relating to the talks are in CFM files, lot M 88, box 160. Similar, but less complete records on the talks, including the reports on the meetings between Secretary Acheson and Foreign Secretary Eden which also follow, are in Conference files, lot 59 D 95, CFs 99–100. Much smaller amounts of documentation on the talks are in files 741.13 and 611.41. The editors also were able to use the records of David S. Lloyd at the Harry S. Truman Library which included a set of his minutes for the four formal sessions.

The documentation that follows presents records of all the meetings which were found in the Department of State files. None of the position papers or memoranda is, however, presented here although two of them are printed in *Foreign Relations*, 1951, volume IV, Part 1, pages 980 and 985. For Secretary Acheson's account of the talks, see Acheson, *Present at the Creation*, pages 594–603; for Foreign Secretary Eden's brief account of the talks, see Eden, *Full Circle*, pages 20–21 and 39–41.

Records of the Meetings and Supplementary Documents

No. 329

Conference files, lot 59 D 95, CF 100

Memorandum by the Secretary of State of a Dinner Meeting Aboard the S.S. "Williamsburg" on the Evening of January 5, 1952 [1]

TOP SECRET [WASHINGTON,] January 8, 1952.
TCT CONV–1
Participants:

U.S.	U.K.
The President	Prime Minister
Secretary of State	Mr. Eden

[1] The memorandum also bears the date Jan. 6, presumably the date it was drafted by Secretary Acheson. For another account by Acheson, which closely follows the source text and is probably based on it, see Acheson, *Present at the Creation*, pp. 597–600; for General Bradley's account of the meeting, see his notes, *infra*.

Secretary of Defense
Secretary of Treasury
Ambassador Gifford
Mr. Harriman
General Bradley
Ambassador Franks
Lord Ismay
Lord Cherwell

[Here follows a table of contents.]

This meeting was most successful. The atmosphere was excellent. Its general effect on Mr. Churchill can be gathered from two remarks; one which he made toward the close of the evening to the President; the other was made to me in private as he was leaving the ship. At the table at the end of the evening he said to the President that of all the meetings which he had attended in his career as Prime Minister with his American colleagues he had never attended one in which he thought the atmosphere was so conducive to close and cordial relations between two countries as the one upon the *Williamsburg*. To me he said, "Did you feel that around that table this evening there was gathered the governments of the world—not to dominate it, mind you—but to save it?"

The evening fell into four main parts: the discussion before dinner; the discussion at dinner; and two separate discussions after dinner.

Before dinner, the discussion fell into various groups sitting around the aft saloon. At the outset the Prime Minister presented the President with a model of the *Mayflower* made from the original wood, a book describing the history of the model, and a copy of Mr. Churchill's latest volume. The President presented the Prime Minister with a set of photographs of the Potsdam Conference and with a set of glasses, one of each type, from the *Williamsburg*, bearing the Presidential seal.

The discussion then fell into small groups, the President and the Prime Minister talking by themselves.

I talked with Mr. Eden. We mentioned three matters.

The first one was the European Army. He said that they wished to do everything they could to be helpful. He thought that, in spite of Mr. Churchill's personal opinions, he would play a helpful part. He briefly described to me the meetings in Paris, [2] the luncheon

[2] Eden is referring to Prime Minister Churchill's visit to Paris, Dec. 17–18.

with Eisenhower, [3] and the press communiqué, [4] which he thought had been useful. I gave him a brief review of the Paris meetings of the six ministers with which he was not at all familiar, pointing out some of the points of difference between the Benelux group and the French and Germans and Italians. [5] I said that I thought that they would have strong British support for their attitude and that the most immediate and necessary task was to have the British make it clear to them that they should make concessions in the direction of the three larger powers, pointing out that what was at stake here, as Adenauer had said in Paris, was the creation of either a combined European army or of a separate German national army, war ministry, and general staff. The latter would not be tolerated either by the Germans or the French. Mr. Eden assured me that he would be helpful and would wish to discuss this further.

I then brought up the Egyptian matter, saying that we were on dead center. Something new had to be introduced. That something new seemed to us to be concessions revolving around the title of the King of Egypt as the King of Sudan. I thought that the British could concede this without injuring themselves and that this, with some further exploration of the four-power proposals, might break the deadlock. Mr. Eden said that he had no objection to the title. That was not the issue. The problem in the minds of the British Government was whether acceptance of the title involved recognition that the 1899 regime was over and that the regime and constitution contained in the Egyptian statute of abrogation was in effect. In other words, he said, it was the whole basis of the present regime in the Sudan. He said that we would have to study this matter together and see if some solution of it were not possible.

The third matter we discussed was Iran. He was under the impression that the Bank was making progress. I told him that the latest reports showed that the Bank had made no progress; that Mossadeq had returned a clever, insulting, and unhelpful letter to the Bank; that the Bank's letter seemed to me to be an unwise one and that neither the British Government nor the Bank had yet wrestled with the fundamental and central question, which was the matter of the price of oil. I told him that the Bank's representatives were returning from Iran and that their own appraisal of

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[3] During the visit to Paris Churchill had lunch with General Eisenhower on Dec. 18; no record of the discussion during the luncheon has been found in Department of State files.

[4] For the text of the Anglo-French communiqué, issued on Dec. 18, see the *New York Times*, Dec. 19, 1951, p. 24.

[5] For documentation on the Foreign Ministers meeting of the countries participating in the conference for the organization of a European Defense Community, held at the end of December, see *Foreign Relations*, 1951, vol. III, Part 1, pp. 980 ff.

their own previous efforts was that these efforts had been highly unrealistic. He asked to see recent communications and wishes to talk about this with us very seriously.

During dinner I sat at the opposite end of the table from the President between Lord Ismay and the British Ambassador. I could not hear the discussion at the President's end of the table, but I believe that General Bradley and/or Secretary Lovett will make some report upon this. [6]

I brought up during the dinner one matter with Lord Ismay, which is worth reporting. This had to do with problems which the British Government raised for us in our relations with the Commonwealths. I said that on many occasions, the most recent of which were the discussions with the British regarding wider sanctions in Korea should the armistice be broken, we had begun discussion with the British Government on a highly confidential basis only to find that they were taking up with the Dominions the matter under discussion. This immediately produced resentment against us, though not against the British, on the part of some of the Dominions, particularly Canada and Australia. I said that we could not continue to operate in this way. These Dominions were independent, sovereign countries, whose relations with us were of very great importance. We had enough difficult points without adding the wholly unnecessary one of prestige. They resented deeply having us deal with them through London. They also resented the fact that they were not approached at the same time we approached the British Government on questions where they had even more at stake than the British did, as in the present armistice in Korea. The only way I could see to solve the question was to have new and clearly understood ground rules. These would have to be that, if we wished to discuss a matter with the British, we would ask them whether they intended to take the matter up with the Dominions. If they said that they were going to do that, then we would take it up with the Dominions at the same time we took it up with the British. If they said that they were not going to take it up with the Dominions, they must rigidly adhere to this rule. The only alternative was for us to discuss all matters with the Dominions at the same time we discussed them with the British.

Lord Ismay seemed to be utterly dumbfounded by this situation. He thought that the normal way to deal with the Dominions was from Washington to London to the Dominions. Ambassador Franks assured him that this was not the case. He also assured Lord Ismay that it was next to impossible for us to be having any important discussion with the British Government without the Dominions

[6] General Bradley's account of this meeting is printed *infra*.

learning of it. Their Embassies in Washington were large, well-staffed, and active. Ambassador Franks thought that this was a major question and required Lord Ismay's immediate and serious attention. Several times during the later part of the evening Lord Ismay referred to our talk as the disclosure of a vast, new problem, the existence of which was utterly unknown to him.

After dinner the President and the Prime Minister withdrew to the aft saloon on the upper deck. After about twenty minutes they sent for Mr. Eden and me.

When we arrived, the President told us that he had been having the most useful talk with the Prime Minister and that he now wished to raise a matter which had been troubling him greatly. He said that over a period of time beginning in November, 1950, and running to December, 1951, he was informed by his military advisers, 167 British ships had been in trade with communist ports in China. He was not, he said, including in this ships trading with Hong Kong, but ships trading from any port, including Hong Kong, and Chinese communist-held ports. These ships carried about 350,000 tons of cargo a month. The British ships accounted for a little over one-half of all non-communist flag ships trading with Chinese ports. Altogether the British and other non-communist ships imported into China as much as the whole trans-Siberian railroad transported. He thought that this was a contribution to the Chinese military power in Korea and was an indirect way of furnishing the enemy material with which to carry on the war. He asked for the cooperation of the Prime Minister and Mr. Eden in stopping this trade.

They both expressed surprise at the figures given, stated that they had only been in office nine weeks, and did not know of this, and would do their best to look into it immediately and take remedial steps should those be shown to be necessary.

The President directed me to give Mr. Eden the information in whatever detail we had it so that they might check on it. (Admiral Dennison, upon the President's instruction, has given me the material from which the President's statement was made, and I am preparing a memorandum for Mr. Eden. [7])

At this point, I said that I wished to raise a related matter which had to do with bringing our policies vis-à-vis Japan's relation to Formosa in line. I pointed out the trouble which existed in Tokyo, saying that the Japanese Government wished to make an arrangement with the Nationalist Government relating to the establishment of peaceful, political, and trade relations between Nationalist-held areas and Japan, but that they did not propose to recognize

[7] Not further identified.

the Nationalist Government as the Government in control of the mainland, or at this time to take any steps regarding Japan's relations with the mainland of China.

Mr. Churchill said that he had gone along with the Labor Government's recognition of China, since he was under the impression that we were withdrawing from China and he saw no other practical course. However, he thought that the Labor Government's policy as they had later pursued it was wrong.

Mr. Eden spoke rather strongly against our view that the Japanese Government could or should enter into relations with Formosa, because he believed that this would prejudice any future relations with the mainland and would inevitably give rise to the view in Japan that we were forcing this attitude and would thereby have a bad reaction against us. He also thought that this violated the agreement with Mr. Morrison.

I pointed out what the nature of the Dulles-Morrison agreement [8] was; that it related to Japan's long-run relations with the mainland, with which we were not now dealing, and, in effect, said that those should be left for action after the occupation had ended. I pointed out that at the present time SCAP had withdrawn all control over most of Japan's foreign affairs and that, with the knowledge and approval of the British, the Japanese were now engaged in making treaties with New Zealand, Australia, Indonesia, and the Philippines. All of these negotiations were for the purpose of easing ratification of the Japanese peace treaty by the Parliaments of those countries. I saw no reason why the Japanese should not be free to enter into the same sort of arrangements with the Nationalist Government which were quite essential for the purpose of getting ratification by our Senate. Mr. Churchill thought that this was more of a point than Mr. Eden appeared to. However, the President and Mr. Churchill instructed Mr. Eden and me to work this thing out and reach a satisfactory solution of it. This we said we would do.

Mr. Churchill then said that he wished to say a word or two about the Middle East. He agreed that we were carrying a great burden in the Pacific and that the British not only should not take steps which made our task more difficult but should do their best to help us. He said that they were, in their turn, carrying a great burden in the Middle East. He thought that we should take steps in this area which could be of great benefit to them by giving them full support. For instance, he said that, if we would put only a bri-

[8] For documentation on the Dulles-Morrison agreement relating to Japan's future relations with China, made in June 1951, see *Foreign Relations*, 1951, vol. VI, Part 1, pp. 1039 ff.

gade of troops into Suez, the British could withdraw a whole division or more. This one step would indicate such solidarity between us that the Egyptians would stop their unlawful conduct and get on with the four-power discussions. Similarly, in Iran, if we undertook to give financial support to the Iranians, the problem would never be solved. Whereas, if we would stand solidly with the British, the Iranians would come to terms in short order.

The President replied that he hoped that Mr. Eden and I would give close attention to Middle Eastern problems. These could be discussed at the larger meetings and he hoped and believed that satisfactory solutions could be reached.

At this point the small meeting broke up, and we rejoined the larger company in the dining saloon, which had been cleared. Here we sat around the table. After a few opening words, the President asked the Prime Minister to give us the benefit of his reflections on the state of the world, with particular reference to the central point of East-West relations; that is, the attitude of the Soviet Union.

The Prime Minister spoke for five or six minutes. He said that he thought the central factor in Soviet policy was fear. He said that they feared our friendship more than our enmity. He hoped that the growing strength of the West would reverse this, so that they would fear our enmity more than our friendship and would be led thereby to seek our friendship.

He discussed the development of American power; mentioned again that the existence of the atomic superiority of the United States was the main guarantee of peace; stressed the necessity for the closest possible alignment of policy between the United States and the United Kingdom; praised the NATO developments and the work of SHAPE; again referred to the need for American support in the Middle East, including a reference to the brigade mentioned above; and said that Far Eastern policy would require the deepest study and united action. He spoke in glowing terms of President Truman's decision to go into Korea and thought that that had been the turning point in East-West relationships.

The President then asked me to lay what facts I wished to before the meeting.

I said that what I would do would be to express a few views, but chiefly would lay out what I thought were the main problems; and I hoped Mr. Eden, as well as the other members of the British group, would give us their thoughts about them.

I said that so far as the Soviet Union was concerned, it seemed to me that the heart of the matter was the concern of the regime to maintain itself in power, first in the Soviet Union, and then to maintain its influence in the satellite areas. I did not think that

our greatest danger lay in the possibility of a mass attack on Western Europe but rather in creeping actions taken through satellites in parts of the world which would exhaust the Western powers, such as was now taking place in Indochina. It seemed to me, therefore, that the main lines of military policy, as laid down in the TCC reports, [9] for 1952 and 1953 were correct; in other words, not to attempt to create forces beyond the capacity of ourselves and our allies to maintain, but to create sufficient force to make any action by the Soviet Union in Europe too dangerous to be attempted.

So far as Europe was concerned, it seemed to me—and I asked for the views of the British—that the next forty days presented the most critical time, in which we would either take favorable action on three main matters, or would suffer a serious setback. These were:

1. The relations with Germany, where the central points of difficulty revolved around the amount of the German contribution and its use. A second point of difficulty was the French desire, sometimes supported by the British, to impose limitations on production in Germany, which had two very harmful effects: one was to prevent Germany from being received as an equal partner in the defense of the West, and the other was to throw an altogether impossible burden upon American production to furnish items, many of which could be produced through the German industrial organization.
2. The second vital matter was the European Army. Here I briefly outlined the issues as I mentioned them earlier to Mr. Eden.
3. The third matter was the TCC report.

I asked whether there was any doubt in the minds of the British that these three matters must be resolved favorably by the middle of February if we are to maintain forward movement in Europe.

In regard to the Middle East, I said that I thought that here we had a situation which might have been devised by Karl Marx himself. It was right out of his book. Vast masses of people in a state of poverty; practically no middle class—that is, small property owners or businessmen; a small owning and governing class, incompetent and corrupt; and foreign influences, against which agitators could arouse the population, which, after being aroused and destroying foreign influences, could be used to bring about a communist regime. I thought we must jointly devise some way of acting in this situation other than by merely sitting tight. I said that we could have the most perfect mutual support and understanding, but that, if it were reached upon present policies, we would be like two people locked in loving embrace in a rowboat which was about to

[9] For documentation on the reports of the Temporary Council Committee (TCC), see vol. v, Part 1, pp. 203 ff.

go over Niagara Falls. I thought we should break the embrace and take to the oars. This amused the Prime Minister.

In the Far East I thought that we had taken energetic steps to get something started in the direction of creating some real power in the Far East. This centered about Japan and our arrangements with New Zealand, Australia, and the Philippines. The operation in Korea had been sound and successful. However, we were faced with the most grave and perplexing problems about China. I thought that we had to analyze the possibilities of Chinese action in South East Asia and make up our minds whether we are going to resist if that was possible or accept the consequences of not resisting if resisting was not possible. I said that the President's advisers had not come to any conclusions and had not laid any conclusions before him. The matter was open for the fullest discussion, and it would be most helpful to have British views.

The President then asked Mr. Eden for his opinions. Mr. Eden said that he agreed with me about the attitude of the Soviet Union and the correct steps to be taken in Europe. He said that we must understand that historically the Benelux countries had looked to the sea rather than internally into Europe. They were deeply interested in and attached to NATO. They regarded European federations, including the army, as something which was an adjunct to NATO, and which was desirable only as such. They looked with apprehension upon being absorbed into Europe should our interest in Europe wane. He thought that to make progress with them, to induce them to join the European Army, we should make very clear our continuing interest in NATO and in moves to support and strengthen NATO.

In the Middle East he did not add very much to what Mr. Churchill had said. However, he saw some hopeful signs in Egypt. These chiefly were the appointment of the two advisers to the King. He hoped that saner policies would triumph in Egypt, and he thought that American support of the British attitude would greatly help in bringing this about. He said that in Iran he had believed that matters were progressing satisfactorily and was surprised and disturbed to learn from me that I did not agree. He wished to look into this more closely with me.

I believe he did make some observations about the Far East, but I cannot recall them, and think that perhaps General Bradley may have covered this in his notes.

Mr. Snyder, at the President's invitation, said that he thought that the economic and financial basis of the West required the closest possible attention. He thought that in some of the countries there were signs of persistent and deep-seated malady. He did not believe that applications of ointment and iodine were going to cor-

rect these maladies, but that they required real diagnosis and perhaps surgical treatment. He would be glad to consider these in the coming meetings.

Mr. Lovett gave an excellent review of the progress of the American re-armament work, starting with the initial appropriations in 1950 and coming down to our present situation. He pointed out the increasing rates of production and projected these into the future. He pointed out the importance of our creating additional production lines. General Bradley made full notes of Secretary Lovett's comments, and what the Secretary said was followed with the closest attention by the Prime Minister. General Bradley supplemented some of Mr. Lovett's observations.

Speaking after Mr. Lovett, Mr. Harriman addressed himself to the subject of the European Army and European integration. He said that Britain had very great influence on the continent. All of the countries looked to Britain either for leadership or for encouragement when they undertook initiatives of their own. He thought that in the past few years since the war British influence had tended to discourage the essential movements toward unity on the continent. He was delighted to see a change in this attitude at the time of Mr. Churchill's and Mr. Eden's visit to Paris.

He then spoke of the current discussions in regard to the European Army and said that, regardless of one's views, about the European Army, it was the only method by which we could now get a German contribution, and he thought it was essential for British influence to be used on the Benelux countries to bring about an agreement.

Lord Cherwell was the last person to speak and directed his observations to the British financial and economic situation. This seemed to him to rest entirely upon the thinnest of the British reserves. Britain was in the position where considerable swings resulting from changes in the terms of trade appeared to him inevitable. If Britain had adequate reserves, this did not produce too serious a problem. In the absence of such reserves, it would produce critical situations. He believed that there was a fruitful field of cooperation in the adjustment of American purchases, prices, stockpiling, etc., in such a way as to assist Britain during times when it was suffering as a result of adverse terms of trade.

This brought the business of the meeting to an end, and after a few moments of general conversation the President's guests departed.

mentioning the possible purchase of Canberra's. He thought that if it were possible to get Canberra's, they would be cheaper than those made in the U.S. and such purchases would help the dollar balance situation. I referred to the fact that purchase of military equipment from Great Britain by the U.S. had been considered some time ago by the Labor Government and they had been rather against it because it would, if kept up for two or three years, mean giving up regular British exports which they would need to continue in order to hold their position in the competitive market. In other words, at the end of three years, say, the British might find that they had lost some of their export market which they need to continue to exist. I understood that the matter would be further considered and if specific items such as Canberra's could be worked out, it might be helpful.

Secretary Acheson discussed with Sir Roger Makins, Sir Norman Brook and myself the question of the British bringing pressure on the Benelux to approve the European army project. The Secretary made very strong representations to Sir Roger Makins as to the need for this. Sir Roger expressed some reluctance about using pressure, but I think was impressed with the need of real attention being given to this matter.

When I left, Mr. Churchill was still talking with a group in another part of the room, but I do not know the subject of their conversation. On the whole, I think it was a most attractive social evening with no new matters of interest or importance being brought up.

WALTER S. GIFFORD

No. 340

Conference files, lot 59 D 95, CF 100

United States Delegation Minutes of the Third Formal Meeting of President Truman and Prime Minister Churchill, The White House, January 8, 1952, 11 a. m.–1 p. m. [1]

TOP SECRET
TCT MIN-3

Present:

U.S.	U.K.
The President	Prime Minister Churchill
Mr. Short	Mr. Eden

[1] The minutes were drafted by Knight on Jan. 9. They are the same in substance as those dictated by David D. Lloyd, Administrative Assistant to the President, which are at the Truman Library, David D. Lloyd files.

Mr. Murphy	Lord Cherwell
Mr. Lloyd	Lord Ismay
Secretary Acheson	Ambassador Franks
Mr. Matthews	Sir Norman Brook
Mr. Perkins	Sir Roger Makins
Ambassador Gifford	Mr. Shuckburgh
Mr. Bohlen	Mr. Leishman
Mr. Knight	Mr. Colville
Mr. Berry	Mr. Pitblado
Mr. Allison	Mr. Gore-Booth
Secretary Lovett	Mr. Mallaby
General Bradley	Field Marshal Sir William Slim
Admiral Fechteler	Admiral Sir Roderick McGrigor
Secretary Snyder	Air Marshal Sir William Elliot
Mr. Willis	Sir Kenneth McLean
Mr. Harriman	Mr. Burrows
	Mr. Tomlinson

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1. Middle East Command

At the President's invitation Mr. Churchill opened the discussion.

Mr. Churchill said that he wanted to make clear the current position of the UK in the Middle East. This position has been deeply altered by the disappearance of the Indian Army as a British military instrument as a result of Indian independence. Of course, UK communications with Australia and New Zealand remain always possible around the Cape but this is a long and inefficient route. The Prime Minister then briefly referred to the current difficulties in Iran; mentioned the unstable situation in the Near Eastern countries and referred to Israel over which the British have no control. Turning to Egypt, he said that the UK was there to perform solely an international duty by keeping the Canal open for international trade. More traffic is going through the Canal now than ever before. British forces are not in the area for promoting in any manner British imperialist interests. As the British are performing an international task in the Canal Zone, the burden cannot be left indefinitely on their shoulders alone. According to the Prime Minister the US proposal for a four-power pact (i.e., UK-US-French-Turkish sponsorship of the MEC [2]) is the best thought to date in

[2] For documentation on four-power sponsorship of a Middle East Command (MEC), see vol. IX, Part 1, pp. 168 ff.

relation to this area and the UK wishes to support it in every way. The sooner the four-power proposal is implemented, the better. Referring to the MEC, Mr. Churchill declared that the Turks would be more likely to participate wholeheartedly if they were directly under General Eisenhower's command within NATO. He then referred to the importance of the US sending a symbolic brigade to the Suez Canal area and stressed the great importance of the four powers all sending token forces to this area. He thought that such a proof of solidarity should bring the difficulties with Egypt very quickly to an end. He said that the Egyptian situation was tying up British forces badly needed in Europe and elsewhere, that the UK was completely unprotected, and that he was most anxious to redeploy UK forces now in Egypt where they would be more useful. Hence the importance of the four powers sending token forces to Egypt which would quickly adopt a reasonable attitude when faced with such a common front. Concerning the Middle East Command itself, he said that, should the US so desire, the UK would be willing to appoint a British Commander for the MEC. Indeed, he thought that this would be natural in view of the size of the British forces in the area and of the task which they are now performing. Nevertheless, he wanted to make quite clear the UK did not desire or expect national benefits therefrom and reemphasized that the British are only discharging an international duty, and a most painful one, in the Canal Area. Mr. Churchill also stressed that a British commander of the MEC must not be considered as compensation for British "losses" elsewhere (i.e., the MEC is not part of any *quid pro quo*).

Mr. Eden then referred to the command set-up itself and to the talks thereon between France, the UK and the US in Rome. [3]

Mr. Acheson mentioned the political factors involved. He said that it is most important politically to move forward with the establishment of the MEC. Obviously, Greece and Turkey would have to be full members of NATO before this could be complete. However, the US is most eager to work closely with the British and French so that the MEC can be set up by March or April. With reference to NATO command arrangements for Greece and Turkey, they would have to be separate from the MEC. At one time the US had thought that the two-hat concept would be possible with the same officer commanding both the MEC and the Eastern Command of NATO. Now the US has come to the conclusion that such an arrangement could not work and that the NATO command must be quite separate and distinct from the MEC.

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[3] See the memorandum of discussion, *Foreign Relations*, 1951, vol. III, Part 1, p. 725.

Mr. Lovett concurred in Mr. Acheson's statement.

General Bradley then said the US Joint Chiefs of Staff thought that, all things considered, the best way of placing Greece and Turkey in the NATO Command framework would be through the extension of Admiral Carney's command to include these two countries. From the military point of view it would be better to set up a fourth command under General Eisenhower but, in view of Greece's and Turkey's stand, for political reasons, the Joint Chiefs of Staff thought the easiest and most practical solution resided in extending Admiral Carney's command. At a later date should it become apparent that Admiral Carney is over-extended, it ought to be possible to split his command.

Field Marshal Slim declared that the UK Chiefs agreed with General Bradley. The proposed arrangement would indeed place too large a military burden on Admiral Carney but there seemed to be no alternative to accepting General Bradley's proposal in view of the position of Greece and Turkey. In case of war this command structure would have to be immediately changed. Field Marshal Slim then pointed out that, regardless of the intense interest of the Turks in being recognized as a European power, it was a fact which no one could change that they were geographically situated in the Middle East. Turkey is the only country in the Middle East which can make a real contribution to the MEC and a proper link between the MEC and Admiral Carney's command must be established. Furthermore, a proper Turkish contribution to the MEC must be obtained. He did not think there would be any trouble on the latter score in view of the assurances received from the Prime Minister and Defense Minister of Turkey by General Bradley and himself when they visited Ankara last fall. [4] He then proposed as the link between the MEC and Admiral Carney that the "Commander of the Turkish Front" also be the deputy to the MEC Commander or, he added "something of that nature".

General Bradley declared that he agreed with everything Field Marshal Slim said excepting that he did not agree with the NATO Commander in Turkey holding any position in the MEC. The US could not accept this suggestion as it saw nothing but trouble in the two-hat concept. He proposed that we should see later what can be worked out. For the time being the two commands should be kept entirely distinct as otherwise there would be objections not only from Greece and Turkey but also "on the Northern flank".

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[4] See the record of discussion, *Foreign Relations*, 1951, vol. v, p. 212.

2. Coordination of US–UK Policies in the Middle East: Egypt and Iran

After saying that it was vital that the UK and the US understand each other on all these matters, the President asked Mr. Acheson to speak.

Referring to Egypt, the Secretary of State said that he and Mr. Eden had discussed this situation at some length Saturday night on the *Williamsburg* and that he expected to have other talks with Mr. Eden while he was here. [5] The prime purpose of these talks would be to work out a new four-power approach to Egypt. In view of the importance which the King of Egypt places on the matter this new approach should include his recognition as King of the Sudan. However, before granting this recognition to the King of Egypt, it would be necessary to assure ourselves of certain conditions beforehand. The King would have to agree to self-determination of the Sudan and to refrain from upsetting any Sudanese regime. He also would have to agree beforehand to accept the four-power proposal concerning the MEC. Although not mentioned as a pre-condition, Mr. Acheson said that the King of Egypt should cooperate in dispelling the existing misconceptions in Egypt concerning the nature of the original four-power proposal. He expressed confidence that he could reach agreement with Mr. Eden as to the course of action to be followed by [*but?*] that it was not clear as to the best moment for breaking the present deadlock.

Mr. Eden stated that he agreed with much that Mr. Acheson had said. However, the King of Egypt does not want the four powers to move now. He thought it was very important to make it quite clear that there had been full agreement at this meeting on the line which should be pursued by the US and UK in relation to Egypt and that this might so influence the Egyptian Government that it might advance the date when a new four-power proposal could advantageously be made. According to the British Foreign Secretary, the main complication for the UK in recognizing King Farouk as King of the Sudan lay in the fact that such recognition would be generally interpreted throughout Egypt as British acceptance of the abrogation of the Treaty of 1899 and of the resulting condominium over the Sudan. To make possible British recognition of King Farouk as King of the Sudan it would first be necessary for the Egyptians to return to the terms of the Treaty of 1899 and abide thereby.

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[5] For records of the conversation on the S.S. *Williamsburg*, Jan. 5, see Documents 329 and 330.

Mr. Churchill then stressed the importance of making fully clear in the communiqué UK-US agreement as to the policy to be followed in relation to Egypt.

Mr. Eden added that it would also be helpful if the communiqué made it crystal clear that the US and the UK had made up their minds to proceed vigorously with the establishment of the MEC. This should have many beneficial effects throughout the Middle East area.

Mr. Truman requested Mr. Acheson to pursue his talks with Mr. Eden concerning Egypt and then referred to his grave worries over the Iranian situation. [6]

Mr. Eden spoke about the current negotiations between the International Bank and the Iranian Government and questioned the recent unfavorable answer from Mosadeq. [7] However, he understands that the bank intends to continue negotiations and will answer Mosadeq's questions. Mr. Eden had seen the bank's representatives and the UK is entirely willing to have the bank continue to play the hand which has been started. For the time being at least, there is no doubt that the right thing to do is to carry on with the procedure which has been initiated. However, Mr. Eden expressed doubts as to the chances of success. He added that the UK was fully ready to examine anything else which might bring the US and the UK in closer harmony with regard to Iran. In his opinion, the price of oil was the essence of current negotiations and US–UK agreement on this subject would be necessary before these negotiations could succeed.

Secretary Acheson said it would be very helpful if Mr. Eden would work on this subject with US officials while he was in Washington. He thought that the bank needed help both on procedure and on substance. He then commented on the conspiratorial manner in which it was necessary to deal with Mosadeq and to the latter's idiosyncrasies which seem to center largely around his fear that he would be considered in Iran as "having sold out to the West". Referring to the Iranian situation as a whole, Mr. Acheson expressed the conviction that it was necessary to introduce a new element of substance without delay as the old proposals were now worn out and were discarded automatically by Mosadeq as soon as mentioned.

Mr. Snyder raised the point of how the International Bank would be able to withdraw from its position as a trustee for oil funds

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[6] Regarding the further discussion of Egypt by Secretary Acheson and Foreign Secretary Eden, see Document 347.

[7] Documentation on the correspondence between Prime Minister Mosadeq and the International Bank for Reconstruction and Development concerning the settlement of the Anglo-Iranian oil controversy is scheduled for publication in volume x.

under the scheme now being discussed between the bank and the Iranian Government. He said that, while it would be a simple matter for the Bank to accept this responsibility, it might be very difficult for the Bank to withdraw from it.

Mr. Eden made the point that, while the Labor Government had taken the position that it refused to negotiate further with the Iranian Government, the New British Government, on the contrary, has expressed its desire to negotiate. However, if the Iranian Government remains obdurate, there will have to be some change in our approach to the Iranians as has been the case for Egypt.

Mr. Churchill stressed that close US–UK cooperation in the Middle East should "divide the difficulties by ten".

The President declared that US–UK agreement was necessary for any settlement of Middle Eastern problems.

Mr. Churchill said that the cards had now been laid on the table, that Mr. Eden and Mr. Acheson could proceed privately and perhaps he and the President might discuss the Middle East again, and in particular, the Iranian situation when he returned from Canada next week.

3. Korea

The President opened the discussion by saying that he feared that there had not always been complete understanding on the part of the UK of US policy in Korea and particularly of the US desire to localize the conflict to Korea. He referred to the 1930's when the US was accused of shirking its responsibilities in the Far East but added that this could not be said now. Thereupon he asked General Bradley to present a picture of the Korean war from the original North Korean attack on June 25, 1950 to the present.

After General Bradley's briefing Mr. Churchill asked if the armistice talks had had any effect on the conduct of military operations.

General Bradley answered that we were not anxious to proceed beyond the present line and that, in his opinion, the armistice talks had had no effect, either favorable or unfavorable, on the military situation in Korea.

President Truman then referred to South East Asia as a whole. The French were extremely worried about the possibility of a Chinese attack against Indochina after a Korean armistice. They were also worried about Communist moves in the direction of Siam and Burma. The President said that US information generally tended to confirm French fears. Therefore, he was especially anxious that the mutual policies of the US and the UK be in full accord. He said that we could not give up the Far East without a struggle in view of the importance of the area, and assumed the UK felt likewise in

view of their interests and those of the Commonwealth in that part of the world. He was sure the UK was just as interested as the US to avoid the over-running of the area by the Communists. While he did not expect that agreement would be reached around this conference table, he thought that the US position should be set forth. He then turned to Secretary Acheson.

Secretary Acheson started by referring to the Vishinsky maneuver which has been going on in the UN in Paris during the past 10 days with a view to transferring the Korean talks to Paris. [8] That and other things, he said, permits us to guess the next Russian move. Communist stalling in armistice negotiations is obvious. He mentioned a detail which struck the Prime Minister and Mr. Eden: the manner in which the Communist negotiators read newspapers and magazines during the meetings with the UN representatives. (Mr. Eden later urged that these tactics be widely publicized to make it quite clear who is responsible for the lack of progress.) Mr. Acheson then referred to the recently stepped up enemy air activity. There had been heavier fighting, and in particular, not far from the site of the armistice talks. All these things had brought him to believe that the Communists consider that they have obtained all the benefits which they can expect to derive from the current talks with their current terms of reference. Now, before concluding these talks, the Communists want to broaden their scope.

The Soviets doubtless want to extend the talks to the Far East as a whole so as to obtain more out of the current negotiations. Secretary Acheson said the US position was strongly opposed to any such Soviet maneuver and hoped that the US and the UK would "stick together". The US concept calls for conclusion of the armistice negotiations strictly on a military plane. Only thereafter would a UN group discuss a Korean political settlement with the other side. At such a time the US would have no objection to the inclusion of Communist China or of the USSR. The United States is not optimistic concerning the outcome of such eventual political talks. Both sides would want a Korea unified in their favor and consequently a deadlock was probable. However, even though these talks might only be a formal affair it was most important for us to reaffirm our policy of Korean unity and adhere thereto. He pointed to the sometimes unwelcome statements of President Syngman Rhee on this subject which reflected Korean popular feelings. The Secretary added that the United States was convinced that this popular sentiment in Korea was both deep and widespread.

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[8] Reference is to the efforts of the Soviet Union to move the Korean Armistice talks to Paris.

Mr. Acheson referred to the course of action in Korea should an armistice be breached or should there be no armistice. He prefaced his remark by referring to the conversation on this subject Saturday evening on the *Williamsburg*, stating that he well knew that the United Kingdom was not in a position to agree now. The matter pertained to the lack of agreement as to what should be the consequences of a breach in the armistice by the Communists. The agreed statement which indicates the grave dangers of the extension of hostilities outside of Korea in this case, as well as if there is no armistice, does not mention the form which this extension of the war could take. The Secretary wanted to reaffirm the United States proposal: bombing operations should be extended beyond Korea but the targets would be military and there was no intention on the part of the United States to bomb Chinese populations; furthermore, the United States would urge that all Chinese imports be cut off and that a UN interdiction be placed on all trade with China. While Chinese rail imports from the USSR are more important to her war effort than her imports by sea, it should however be remembered that the volume of Chinese seaport imports is as great as that of its imports by rail. The Secretary closed by again recognizing that Mr. Churchill and the British representatives would have to discuss the above matter with the British Cabinet.

Mr. Churchill said that while he had always been opposed to deploying UN ground forces beyond the waist of Korea, he would from a military point of view, favor the extension of air force activities beyond Korea "were it not for the political boundary involved."

Turning to United States policy in regard to China, Secretary Acheson said that around January 1950 the United States had thought it possible to play on Chinese-Russian differences with a view to fomenting a split between these two Communist powers. Now, however, the United States no longer holds this view, this being especially true since the Chinese intervention in the Korean war. This had been discussed with Prime Minister Attlee during his visit to Washington; [9] likewise with Mr. Morrison in September [10] when it was ascertained that the British Government maintained its earlier viewpoint. This disagreement had led to the mention in the September Communiqué [11] of certain differences be-

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[9] For documentation on the Truman–Attlee conversations, held in Washington Dec. 4–8, 1950, see *Foreign Relations*, 1950, vol. III, pp. 1698 ff.

[10] For documentation on the meetings of the Foreign Ministers of the United States, the United Kingdom, and France, held at Washington, Sept. 10–14, 1951, see *ibid.*, 1951, vol. III, pp. 1163 ff.

[11] For the text of this communiqué, see *ibid.*, p. 1306.

tween the United States and the United Kingdom. Mr. Acheson said that in the view of the United States we must proceed in our relations with China on the basis of specific situations. For example, what should we do in the case of a breach of the armistice? Our actions should be based on such concrete considerations and not on the tenuous and moot consideration of the possibility of splitting China away from the USSR. We must act as we think best in specific cases even at the risk of pushing Communist China towards the Soviets.

Turning to Formosa, Secretary Acheson said that there can be no question of returning Formosa to the Chinese as Formosa is now in the hands of the Chinese. Furthermore, the United States can neither help nor permit the Chinese Communists to seize Formosa and pointed to the difficulties which this would cause throughout the entire Far East. In particular, he mentioned the worry and even the terror which this would cause in the Philippines and in Japan. Mr. Acheson declared the heart of the matter in the Far East was to build up sufficient strength so as to hold Japan on the side of the West. He pointed to the great shift in the world power situation if Japan with its military virtues and industrial capacity went over to the Communist side. While the chances of keeping Japan on the side of the West were not overwhelming, everything had to be done towards this end. That is why the United States had felt as strongly as it had concerning the type of Peace Treaty which was to be signed with Japan.

Referring to the general question of Pacific security, Secretary Acheson said that we would have to continue working closely with Australia and New Zealand on the basis of the treaty signed with these countries.

Turning to Indochina, Secretary Acheson stated that the United States Government had not decided upon its course of action in the case of new developments in the area, such as a Chinese invasion. However, the United States Government was currently giving fullest consideration to this matter and its views would shortly be presented to the President for his consideration. In the meanwhile we had agreed to staff talks with the UK and France concerning the military problems in that part of the world. The West is indeed faced with a dilemma: if we do nothing it would be most unfortunate yet it is most difficult to see how we can do something effective. In any event the western powers must work closely together.

Mr. Acheson added that there was one more thing in relation to China which he wanted to say. He had found in his talks with Messrs. Morrison, Bevin and Attlee that they treated the present fiction of diplomatic relations between Communist China and the United Kingdom as if they were a reality. These diplomatic rela-

tions are simply not a fact as the Chinese Government has not recognized the United Kingdom. It would be helpful in our approach to the Far East if the United States and United Kingdom could view such specific matters in the same manner.

Mr. Churchill expressed his admiration for the manner in which the United States was carrying virtually the entire load of the West in the Far East. He paid special tribute to American fortitude in the Korean war which had resulted in 100,000 United States casualties. He recognized the peculiar difficulty of prosecuting such a war when the nation as a whole does not consider itself to be directly threatened. He emphasized the United Kingdom's desire to help the United States in every way possible and recognized that in the Far East there could be no UK priority or equality of leadership. The role of leader squarely belonged to the United States and the UK will do its utmost to meet US views and requests in relation to that area. In the Prime Minister's opinion, the President's decision to resist in Korea had done more than anything else to reverse the tide in our relations with the Soviets in the postwar period. Indeed, he felt that June 25, 1950 marked the turning point in the danger to the free world of Communist aggression, and the United Kingdom was profoundly grateful to the United States for its action. Several times Mr. Churchill asked that the United States tell the United Kingdom what the latter could do in order to be of assistance. He admitted that British diplomatic relations with Communist China were essentially a fiction, as the latter had not recognized Great Britain. He added that had he been in power he would have broken relations with China when the Chinese attacked the UN forces in Korea. However, when he was returned to power the phase of armistice talks had been initiated and he did not think that such a British action would be desirable now because of its possible effect on the negotiations. Referring to Formosa, Mr. Churchill said that it would be "shameful" for the UN to leave the 3-400,000 anti-Communist Chinese to the tender mercy of the Communists. These Nationalist forces on Formosa had been on our side in the Second World War and had fought on our side afterwards. He expressed the most cordial support for the United States in this matter. Referring to a Peace Treaty between Japan and the Nationalist Government in Formosa, he thought this should be discussed by Messrs. Acheson and Eden. However, he personally did not want to see Chiang Kai-shek's Government recognized as the legitimate government of mainland China. Before closing the Prime Minister again repeated his request that the United States not hesitate to ask the UK for anything which might be of help to the United States in the Far East and reiterated his gratitude for all that the United States had done in that part of the world.

Mr. Eden said that he did not agree with the late British Government's position concerning China and, in particular, with its belief that a Chinese brand of Titoism could be fostered. He thought it unwise to base a national policy on such a tenuous possibility. He referred to the Vishinsky maneuver in Paris for a four-power conference in order to reach a Korean settlement. Personally, he fully agreed with the United States position set forth at the meeting which he summarized as follows:

1. Armistice talks must be concluded on a strictly military plane;
2. Thereafter, political talks concerning Korea with no exclusives against any country;
3. Only thereafter, could political talks be expanded to cover other Far Eastern matters.

He referred to the current Vishinsky maneuver as important as it appears to be gaining ground and obtaining support from other countries. He thought therefore it was very important to expose with the utmost clarity to the people of the West the Communist stalling tactics in the current armistice talks.

With reference to Southeast Asia, Mr. Eden said he was grateful for the imminent staff talks with the United States and France even though he himself "could not see daylight".

Mr. Churchill then made the point that an armistice in Korea would doubtless increase the threat against Malaya.

Mr. Eden pointed out that unlike Korea the burden in Southeast Asia fell essentially on the shoulders of the French and the British. He said that he knew the French Government was deeply worried and that while it felt it could hold out indefinitely against the present communist forces in Indochina they could not do so if these were reinforced by Chinese troops.

Mr. Churchill then related the Indochinese and the European situations, pointing out that the French were losing the flower of their army in Indochina and that under these conditions it would be all too easy for the French to fail in producing a good French army in Europe. On the other hand, if the Indochinese drain on France were stopped it should be relatively easy for the French to develop a strong army which in part would of course be within the Europe Army. Likewise with a strong army, the French would be less fearful of permitting the Germans to develop their strength.

Mr. Eden then pointed to the direct relationship between the Southeast Asian situation and the UK's own situation and made special reference to the impact on the UK's economy should Malaya be lost.

Secretary Acheson then assured Mr. Churchill that it was not the intention of the United States to press the Japanese Govern-

ment to sign a treaty with the Chinese Government on Formosa which would recognize the latter's authority over mainland China.

Mr. Eden raised the question of how it was possible to deal with the Formosan Government without by implication recognizing it as the legal government for all of China.

Mr. Churchill suggested that maybe a temporary arrangement—say for three years—would carry with it fewer such implications.

The President requested Mr. Acheson to have further talks with Mr. Eden on these subjects and said he thought that the positions of both the United Kingdom and the United States were mutually well understood.

The President then suggested the meeting adjourn.

No. 341

Conference Files: Lot 58 D 95, CF 136

Memorandum of a Luncheon Meeting at the Department of the Treasury, January 8, 1952 [1]

CONFIDENTIAL
TCT CONV-7—Part I [2]

Present:

U.S.
Secretary Snyder
Mr. W. Averell Harriman
Mr. E. H. Foley
Mr. Richard M. Bissell
Mr. William McChesney Martin, Jr.
Mr. Willard Thorp
Mr. John S. Graham
Mr. Thomas J. Lynch
Ambassador Walter S. Gifford
Mr. Leroy D. Stinebower
Mr. Frank A. Southard, Jr.
Mr. George H. Willis
Mr. C. Dillon Glendinning
Mr. Judd Polk

U.K.
Lord Cherwell
Sir Leslie Rowan
Mr. Denis Rickett
Mr. Allan Christelow
Mr. Robert Hall
Mr. G. D. A. McDougall

Secretary Snyder welcomed the group, and said that while he did not wish at a luncheon to go intensively into the financial and eco-

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[1] Drafted by Judd Polk of the Treasury on Jan. 21; a notation on the source text indicates that it was not reviewed by the principals.

[2] For Part II, see Document 348.

around it, but there was a more artistic way of doing it. He was in favor of the fitting of it in. He would nominate Lord Cherwell, Sir Leslie Rowan, Mr. Powell and Mr. Hall on his side to undertake discussions of "Dovetail."

The President said he thought that Mr. Wilson and Mr. Harriman on his side should take it up with them. It was a matter that Mr. Wilson was very much interested in and that he, the President, was very much interested in.

Lord Cherwell said it would help on the brass strip question.

The President then said to the Prime Minister that he understood that he would have the honor of boring the Prime Minister with the forty minutes of his State of the Union speech tomorrow. The President said he would have to work on this speech this afternoon and evening. He said he wished he could invite the whole British party to attend the joint session, but this was not possible.

The Prime Minister said it would be an honor and he would not be bored. He said that as an old politician and public speaker, he greatly appreciated the time and consideration the President had given to them all when such an important event as the State of the Union Address was impending.

The President explained that in addition to the State of the Union speech, the law now required him to send up an Economic Message and a Budget Message at the same time, and that he had been working on these things since September. He said that, nevertheless, he was glad to have the British here and to have such a successful conference.

The Prime Minister said he was glad too. He said, "Just give us a pat on the back, that's all."

The President adjourned the meeting at 6:25.

No. 345

611.41/1-852

Memorandum of Conversations, by the Assistant Secretary of State for European Affairs (Perkins) [1]

SECRET [WASHINGTON,] January 8, 1952.

Subject: Churchill Talks

Participants: Ambassador Bonnet
Mr. de Juniac

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[1] Drafted by Godley. The conversations took place at the Department of State on the nights of Jan. 7 and 8 following the conclusion of talks with the British on those days.

Assistant Secretary Perkins
Mr. G. M. Godley

Ambassador Bonnet called at his request last evening to inquire regarding the Churchill conversations and asked if I could indicate to him the general tenor of the discussions and review briefly what had transpired.

I told the Ambassador that we were of the opinion that the principal purpose in Mr. Churchill's coming to this country was to become personally acquainted with the American leaders and, probably more important, to increase Great Britain's prestige both in this country and throughout the world. He had been out of touch with world events for the last five years and he desired to establish the same kind of personal relationships that he had maintained during the war. We did not believe that Mr. Churchill was seeking any specific agreements or conclusions and we anticipated that the conversations would be quite general and broad. Yesterday's two sessions with the Prime Minister and his private talks with the President appeared to have confirmed these beliefs and the conversations so far had been quite general.

The first subject of yesterday morning's sessions had been raw materials, particularly steel. [2] The Prime Minister indicated that the United Kingdom needed steel and that she might be able to help us out in our shortage of nonferrous metals. It was agreed that Mr. Wilson and Lord Cherwell would pursue this matter further with United States and United Kingdom experts and some hope was expressed on our side by Mr. Wilson that we might be able to help the British out.

Mr. Churchill also said that the United Kingdom was not seeking economic assistance for internal purposes. He admitted however that the defense effort was causing grave economic difficulties and that his Government would not be abashed to accept aid for defense which was a common responsibility of the West.

The other subject discussed in the morning was the streamlining of the NAT Organization, the appointment of a Director General, and the assembly of non-military NATO groups in one capital. The British indicated in this connection that they would be very glad if all the civilian NATO organizations were in London and we for our part indicated that Paris might be preferable. This matter was not settled and it was agreed that it would be the subject of further study by appropriate British and American officials. At this point Ambassador Bonnet interrupted to inquire whether the personality of the Director General had been agreed upon, to which I replied

[2] For a record of the morning session of Jan. 7, see Document 333.

that only the question of the creation of a Director Generalship had been discussed and that the person to fill the job had not been mentioned. I also said that there had been no discussion of the terms of reference and this matter would probably have to be worked out by all the deputies.

Yesterday afternoon's session dealt with only two subjects, namely the rifle and SACLANT. [3]

Discussion of the rifle indicated that there had been considerable misunderstanding on both sides regarding this matter in that both sides were under the impression that the other desired its weapon to be adopted as the standard NATO rifle. The Prime Minister pointed out that this was not the British position in that they had a large number of their .303 weapons that could not be presently scrapped and we pointed out the same with regard to our M-1. It was agreed that both sides would continue the research on a basic rifle and that it was necessary for the West to come up with the best possible weapon for eventual NATO-wide standardization.

The discussion regarding SACLANT was fruitless. Neither side was able to convince the other of its position and unfortunately Mr. Churchill did not seem to grasp the necessity of a unified command structure. He kept referring to the World War II situation when each navy had its own commander in its area who worked well together. If there were any disputes they would then be referred to "their chiefs" who settled the matters among themselves. One interesting thing was the fact that Mr. Churchill did not seem to object to an American being in command of a greater part of the North Atlantic in that we had the majority of the ships in that area. He just did not, however, see the necessity for one complicated command structure.

This evening I continued the discussions with the Ambassador and informed him of the day's conversations. The morning session opened with discussion of the Middle East. [4] The first subject was Egypt and it was pointed out that there were two problems connected with that country, namely the Sudan and the Middle East command. It was generally agreed that nothing could be done at present with regard to these two items and the situation should simmer for a while. Turkey was discussed for some time and it was agreed that after Lisbon, [5] Turkey should be brought more actively into Middle East command discussions. With regard to Iran, Mr. Churchill indicated the principal problem there was the question of

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[3] For a record of the afternoon session on Jan. 7, see Document 337.

[4] For a record of the morning session on Jan. 8, see Document 340.

[5] For documentation on the Ninth Session of the North Atlantic Council, held at Lisbon, Feb. 20–25, see vol. v, Part 1, pp. 107 ff.

the price to be paid for the oil. Both he and Mr. Eden expressed interest in continued exploration of a possible solution through the International Bank.

The Far East was then discussed and General Bradley briefed Mr. Churchill on the entire Korean campaign. This took considerable time in that the General described the first retreat, first advance, the second retreat and the second advance. There was also considerable time devoted to bringing the British up-to-date on the Armistice talks and the point was made that Vishinsky's recent maneuver to have the Armistice talks transferred to Paris seemed to be an attempt to drive a wedge between the Allies and to achieve other advantages through broadening the scope of the talks. Southeast Asia was then discussed and it was agreed that the situation there is very serious. Both Mr. Churchill and the President recognized the great efforts being made by the French in Indochina and the fact that the load she was carrying in Southeast Asia bore a direct relationship to possible efforts which she might make in Europe. Mr. Eden mentioned Malaya, pointing out the efforts the British were making there and the economic importance of that area to the United Kingdom. Ambassador Bonnet interrupted at this point to inquire whether any decisions were taken as to Southeast Asia, to which I replied in the negative, pointing out that while everyone recognized the seriousness of the situation, no one had any ideas as to possible solutions.

The conversation then shifted to Formosa and Mr. Churchill said that he warmly applauded our action in protecting the Chinese Nationalists of Formosa, pointing out that we just could not permit the slaughter of over 300,000 Nationalists who had fought on our side both during the last war and since then. Mr. Churchill also said that if he had been in the government, he would not have recognized a Communist China and if they had been recognized, he would have broken relations when Chinese forces entered the Korean war. As it is now however, there is no occasion to break relations.

In the afternoon [6] the conversation reverted to raw materials and the American side was able to indicate that we would be willing to supply more steel to the United Kingdom and the British indicated that they thought more tin could be sent to this country. It was agreed that during the last three quarters of this year we would receive 15,000 tons of aluminum from Canada which we would repay in 1953. Mr. Churchill then spoke about copper and nickel and said he thought it should be possible for the Common-

[6] For a record of the afternoon session on Jan. 8, see the United States Delegation Minutes, *supra*.

wealth to assist us in these two items. This discussion became inconclusive however when he pointed out that the nickel came from Canada and the copper was still underground in Africa.

The European Army was the next subject on the agenda and Mr. Churchill expressed concern regarding the present setup of the European Army. He stated however that a European Federation is essential and that therefore he would do everything possible to support the European Army and would speak to Belgium and Holland on this point. There was considerable discussion of the relative merits of such a European force and Mr. Churchill pointed out that what is really required is the will to fight which can best be maintained by supporting the national spirit. We pointed out that in Korea the troops had certainly shown a will to fight even when they were small national units.

Both the Americans and the British agreed that it was essential to get Germany into the European Army. Ambassador Bonnet of course expressed considerable interest in this portion of the conversation and asked several questions on what would be done with the Benelux countries. I pointed out that it was agreed that we and the British would coordinate our discussions with the Benelux and would seek to overcome their objections to the present area of agreement between France, Italy, and Germany. The Ambassador appeared to be quite pleased with this information.

In concluding the meetings, the question of the strengthening of NATO was again raised and the location of the non-military NATO defense bodies was again inconclusively discussed.

The Ambassador thanked me for this information and asked if he were correct in his assumption that the meetings had been not only cordial but also successful. I told him he was quite correct and that I had the very distinct impression that there exists between our leaders and the present British Government a better meeting of minds and comprehension than previously. Although it was quite apparent that the present British leaders suffer from lack of information on the developments of the last five years, they are nevertheless much more practical and less doctrinaire than their predecessors. This was indicated for example by Mr. Churchill's welcoming of our defense of Formosa and his views on the recognition of Communist China.

the US suggestion was there should be a UN committee to negotiate a political settlement.

Mr. Acheson replied that was correct; that we had thought of a committee of five or seven, the number to depend upon whether France and the UK wished to participate. The other five would be the USSR, US, Australia, Turkey and Thailand.

Mr. Eden indicated that he thought they definitely would wish to participate.

Mr. Acheson stated that he thought perhaps the only real accomplishment such a committee could make would be finding some formula by which the UN troops stationed in Korea might be reduced in number.

No. 351

Conference files, lot 59 D 95, CF 100

Memorandum by the Assistant Secretary of State for Far Eastern Affairs (Allison) of a Meeting of Secretary of State Acheson and Foreign Secretary Eden at the Department of State, January 10, 1952 [1]

SECRET
TCT CONV-4—Part II [2]

Present:

U.S.
Secretary Acheson
Mr. Dulles
Mr. Matthews
Mr. Perkins
Mr. Allison
Ambassador Gifford

U.K.
Secretary Eden
Sir Oliver Franks
Mr. Tomlinson
Mr. Shuckburgh

Japan's Relations with China

The Secretary opened the discussion by referring to a previous brief mention of the matter between the President and Mr. Churchill and the fact that the matter had been referred to Mr. Eden and the Secretary for further discussion and decision. [3] Mr. Dulles was then requested to state his understanding of the situation. He spent some time going over the complete history of the

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[1] The source text, which is dated Jan. 18, does not indicate when or where this conversation took place, but according to Acheson's book, *Present at the Creation*, p. 604, the meeting took place Jan. 10.

[2] Part I is printed *supra*; Part III is Document 355.

[3] See Document 329.

problem of Japan's relations with China, beginning with the statement Prime Minister Yoshida had made on May 19, 1951, that the Japanese Government under no circumstances desired signature by the Chinese Communist regime to the peace treaty with Japan and that basically the Japanese Government wishes to make peace with the Chinese Nationalist Government on Formosa.

Mr. Dulles pointed out that in all his actions he had been motivated by the desire to keep US–UK policy as close together as possible and at the same time bring about an early ratification of the Japanese peace treaty by the United States Senate. He emphasized that he had resisted attempts by members of the Senate to take the stand that Japan should at once conclude a peace treaty with Nationalist China and was hopeful that the action he had taken and which he would explain would result in the Senate's early ratification of the treaty without attaching reservations concerning the necessity of Japan's concluding a treaty with Nationalist China. Mr. Dulles had consistently borne in mind the agreement with the former Labor Government that Japan should have free choice as to what was in its best interests, that nothing should be done which would compel Japan to make a treaty with Nationalist China which would recognize Nationalist China as at present able to speak for all of Mainland China, and that any treaty which might be negotiated between Japan and Nationalist China should not be finally consummated until after the coming into force of the multilateral treaty of peace. He added that at no time had it been his understanding of the Dulles-Morrison agreement [4] that it would prevent Japan from taking action which it deemed in its own interest, and he pointed out how the facts of United States-Japan relationships were such that it was unthinkable, for the next several years at least, that Japan would pursue a policy in the Far East which was counter to that of the United States.

Mr. Dulles referred to the fact that he had now received a direct communication from Mr. Yoshida, stating the intentions of the Japanese Government, and that it would probably be necessary to make this known during the course of the Senate's consideration of the peace treaty with Japan. [5] Mr. Dulles concluded by stating that in his opinion the action which the United States had taken was the absolute minimum necessary to achieve the desired results in the United States Senate and at the same time retain the spirit and in fact the letter of the Dulles-Morrison agreement. He ex-

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[4] For documentation on the Dulles-Morrison agreement, made in June 1951, relating to Japan's future relations with China, see *Foreign Relations*, 1951, vol. VI, Part 1, pp. 1039 ff.

[5] For the text of Prime Minister Yoshida's letter to Dulles, Dec. 24, 1951, see Acheson, *Present at the Creation*, p. 759.

pressed the hope that the United Kingdom would be able to go along with this contemplated action.

Mr. Eden expressed appreciation for the detailed account given by Mr. Dulles and said that he fully appreciated the factors which influenced United States wishes in this matter. He could only repeat what he had said before, namely that his Government would have much preferred that any expression of intention by the Japanese with respect to their future action could have been withheld until after the actual coming into force of the treaty of peace, but that if, for what seemed to the United States good and sufficient reason, this was not possible, he did not believe that his Government would wish to make any great issue over the matter. He reiterated the well known UK view that nothing should be done which would give the Japanese opportunity in the future to say that whatever action they might take toward China was forced upon them and not the result of their own free will. In this connection Mr. Dulles pointed out that final action by Japan, including ratification of any treaty or agreement with Nationalist China by the Japanese Diet, would not take place until after the multilateral peace treaty had become operative, and hence would be the free and voluntary act of the Japanese people.

Secretary Acheson said that he wished to supplement Mr. Dulles' remarks by pointing out that the Japanese would have great difficulty in working out with the Government on Formosa the type of limited agreement contemplated, and that the Chinese Nationalists had certain strong cards in their hands. They might well induce certain of their friends in the Senate to advocate a postponement of ratification proceedings until the Senate could have an opportunity to study in detail any proposed agreement between Japan and Formosa to see whether or not it met all Chinese desires. This would be bad enough, but there was a second course of action which might be even more distressing, namely that the Senate would attach to the ratification a reservation to the effect that the treaty would not become operative until Japan had concluded an agreement with Formosa. This not only would be bad for the United States, but would confront all the other signatories to the treaty with a very difficult problem. The Secretary then went on to say that it was most desirable to have Sir Esler Dening, British Ambassador in Japan, informed of the results of our talk so that if he were approached by the Japanese he could make clear that if they desired to go ahead with beginning negotiations with the Chinese Nationalist Government they would not incur the displeasure of the British Government. Mr. Eden thought this raised rather difficult problems and might seem to necessitate his Government's completely reversing its previous stand and that this would be

most embarrassing. Considerable discussion then took place among those present over possible wording of a message to Dening which would not do violence to the previous British position and yet would indicate to the Japanese that if they took action which they desired to do in their own interest the British Government would interpose no objection. It was finally left that the British side would endeavor to draft an appropriate instruction to Dening and would consult later with the United States side on this matter.

In conclusion, Mr. Eden agreed on the fundamental necessity of Japan's foreign policy being in harmony with that of the United States, and he suggested that such differences as exist between the United States and the United Kingdom relate primarily to the matter of timing of Japan's announcement regarding its policy. Mr. Eden stated specifically that this was not in his mind a major issue and that it should not cause any real difficulty either between the United States and the United Kingdom or the United Kingdom and Japan.

No. 352

Conference files, lot 58 D 95, CF 100

Memorandum by the Deputy Administrator for International Materials Activities (Ticoulat) of a Meeting on Raw Materials, Washington, January 9, 1952 [1]

CONFIDENTIAL.
TCT CONV-8—Part III [2]

Present:

U.S.	U.K.
Mr. McNaron, MSA	Mr. Cargill
Mr. Johnson, DPA	Mr. Senior
Mr. Woodward, DPA	Mr. Wheeler
Mr. Taggart, DPA	Mr. R. C. Smith
Mr. Ticoulat, DPA	

The purpose of the meeting was to reconcile present U.K. stated requirements of 900,000 long tons with previous figures determined by ECA of 705,000 tons based upon information previously given. The 705,000 tons previously arrived at by ECA anticipated that the U.K. would be able to obtain some supplies from other sources and

[1] Drafted on Jan. 22. The source text does not indicate the place or the time at which this conversation was held, nor does a two-page memorandum of the conversation prepared by the British, which was attached to it.

[2] For Parts I and II, see Documents 335 and 342.

plan in advance Butler-Eden visit.[3] Although no decision as yet, we rather expect that this procedure will be adopted. If so, Makins' approach might be early February.

5. Division also exists within UK Government as to whether consultations with European countries should be through OEEC or with France, Belgium, Netherlands, West Germany and Italy separately. Treasury and Bank favor latter course but some officials believe that OEEC will ultimately be chosen as vehicle for consultation, especially in view British chairmanship OEEC and basic political considerations UK-European relations.

6. While there is general agreement on nature of plan and main steps it involves, British Government is still divided on question of how fast various measures involved should be put into effect. Treasury and Bank seem to favor prompt and extensive action whereas Board Trade, Foreign Office, Plowden and Hall favor more gradual approach. The latter group believes this would lay firmer foundation for success of plan, and make it less likely that politicians will be confronted with really drastic and precise choices between the plan and sensitive domestic policies, in which event they fear that domestic political considerations would compel abandonment of the plan and also endanger the defense program. These persons, none of whom are devoted to controls for their own sake, also believe that failure of this plan similar to 1947 would be really catastrophic, that it would postpone indefinitely another effort at convertibility, that it might undermine the present government and strengthen Bevanism, and that it might threaten a major breach in Anglo-American relations.

GIFFORD

[3] For documentation on the Butler-Eden visit to Washington, Mar. 4-7, see Documents 375 ff.

No. 373

Conference files, lot 59 D 95, CF 135

Memorandum of Conversation, by William J. McWilliams of the Executive Secretariat [1]

TOP SECRET [WASHINGTON,] undated.

Participants: Mr. Dulles, Mr. Bruce, Mr. Allison, Mr. Jernegan, Mr. Bonbright, Mr. Riddleberger, Mr. MacArthur, Mr. McWilliams

[1] The conversation took place at 4 p.m. on Jan. 8, 1953.

Mr. Dulles requested that the above named officers assemble in Mr. Bruce's office in order that he might give an account of the conferences held with Prime Minister Churchill at the Eisenhower Headquarters in New York. [2] Mr. Dulles reported on these conversations, as follows:

General

At the initial meeting between General Eisenhower and Mr. Churchill, Mr. Churchill made it plain that he would like to reestablish with General Eisenhower the sort of relationship which existed between President Roosevelt and Mr. Churchill. He indicated that he would like to settle major questions arising by sitting around a table with General Eisenhower. Mr. Dulles reported that General Eisenhower had replied by saying that, of course, he wished to have the closest possible relationship with Mr. Churchill but that the making of decisions must go through regular channels.

The other primary item which Mr. Churchill discussed at this conference with General Eisenhower was the ANZUS Treaty. Mr. Churchill made it very plain that he was much put out by the exclusion of Great Britain from the ANZUS Council and went through the familiar arguments as to why Great Britain should be included. General Eisenhower was apparently non-committal and after the conference Mr. Churchill gave a memorandum to General Eisenhower regarding this subject. [3] (Mr. Dulles reported that he did not yet have this memorandum but he expected that it would be forwarded to him.)

Far East and ANZUS Treaty

Mr. Dulles reported that he had had two meetings with Mr. Churchill. The first was held with Ambassador Designate Aldrich present. Mr. Dulles reported that the main issue discussed at the first meeting was China. He said he would not go into the details of the conversation at this time but would inform Mr. Allison in more detail on this subject at a later time. He did say that he had talked to Mr. Churchill along the line that the problems of Korea, China and Indo-China should be viewed as one problem and considered as a whole. He had pointed out to Mr. Churchill that he thought that these problems were so inter-twined that they could not be dealt

[2] The conferences took place between Jan. 3 and Jan. 8 while Prime Minister Churchill was visiting Bernard Baruch in New York. On Jan. 8 Churchill flew to Washington for the meeting with President Truman which is described in Secretary Acheson's memorandum of conversation, *infra*.

[3] For text of this undated memorandum, see vol. XII, Part 1, p. 256.

with separately. He reported that Mr. Churchill agreed with him and said he is much in favor of proceeding on this basis.

Mr. Dulles said he had had a second meeting with Mr. Churchill yesterday evening following dinner. Governor Dewey was present during this meeting. He said the bulk of this meeting was taken up by a discussion of the British position regarding membership in the ANZUS Council. He said Mr. Churchill was very definite in his demand for either full membership or as a minimum a position as observer on the Council. Mr. Dulles said he had informed Mr. Churchill that this matter had been discussed with Foreign Minister Morrison at the time of its formation and that Mr. Morrison had never asked that the British be included. Mr. Churchill replied by saying Mr. Morrison said that the contrary was true. Mr. Dulles said this was not so. Mr. Churchill said that irrespective of that he now wanted some status for granting the British in ANZUS—preferably as a full member. Mr. Dulles pointed out to him the additional commitments that it would place upon the United States since British territories in the Far East—such as Malay and Hong Kong—would then come under the guarantees of the ANZUS Agreement. Mr. Dulles said that he at this moment did not know how the United States Military would view such additional commitments. He also pointed out that the French would then want to be included as would Formosa, Japan and the Philippines. He went into the history of the development of the ANZUS and explained to Mr. Churchill how it was necessary at that time to drop Japan and the Philippines from consideration in the formation of the Pact.

Iran

Mr. Dulles reported that Iran had been discussed in rather a superficial way. He said Mr. Churchill did not have mastery of the facts concerning the Iranian situation and his main point was that he would like the *status quo* in Iran during present negotiations maintained. Mr. Churchill repeated the familiar British line that their concern as to the political future of Iran was not as great as ours and that he did not believe there was any danger of a takeover by the Tudeh Party. He asked that the incoming administration not rock the boat on current negotiations. He also expressed himself as being strongly opposed to the sending in of American technicians as proposed by Alton Jones. Both Mr. Dulles and General Eisenhower informed Mr. Churchill that they had no intent of disturbing present negotiations which seek to end the oil crisis.

EDC

Mr. Dulles said he had been quite concerned at the apparent breakdown of support for the EDC. He said that developments in Germany and France have been disturbing and General Eisenhow-

er's message to Chancellor Adenauer was an attempt to restore the situation. [4] Mr. Dulles thinks now that this may have been a mistake since it appears General Eisenhower's prestige there has not brought the desired result since it is reported in the paper that Adenauer has now announced his belief that a review of the treaty is necessary. Mr. Dulles said, however, that he and General Eisenhower had recognized they were taking a risk in sending the Eisenhower message but they felt that it was a risk worth taking. In line with the above, Mr. Dulles said he had pressed Mr. Churchill to take a more positive approach toward the EDC.

Mr. Dulles said that at his first meeting with Mr. Churchill he thought he had made progress. However, when he met with him the second time Mr. Churchill seemed to have reversed his position and took a strong view that we must go ahead with the formation of national armies and depend upon a grand alliance which will combine strength. Mr. Churchill made the point that he did not believe you could have an effective army without loyalty to a particular country.

In sum, Mr. Dulles felt that Mr. Churchill takes a very dim view of the EDC and Mr. Dulles feels that this is a very discouraging development. He told Mr. Churchill that this view could cause difficulty in our Congress and in the matter of the amount of assistance which we would be able to give to the European countries. He said he thought Mr. Churchill resented this but probably recognized the validity of it. Mr. Churchill expressed a very low view of the French.

Convertibility of Sterling

Mr. Dulles said Mr. Churchill did not attempt to discuss this in a substantive way but that he was anxious to take up British financial problems with the new administration as soon as it was able. Mr. Dulles told him he thought the new administration would be ready to discuss this early in February.

Mr. Churchill then put forth the idea that he might stay over in Jamaica an extra week and then return to Washington to open a conference on this subject. Mr. Dulles warned him against this and said that because of the respect in which the American people and the Congress hold Mr. Churchill there would be strong suspicion if Mr. Churchill were to do this. The Congress and the people in general would believe that this was not a proposition which could stand on its own and Mr. Churchill had had to put his prestige behind it to pull it off. Congress would be suspicious and Mr. Dulles

[4] For text of President-elect Eisenhower's message to Chancellor Adenauer, Jan. 6, 1953, see the editorial note, vol. v, Part 1, p. 700.

thought nothing good could come of this. He suggested to Mr. Churchill that a working party, headed by Mr. Butler, should arrive about February 10th with Mr. Eden coming over about February 20th. Mr. Churchill agreed with this.

Formosa

Mr. Dulles said there was not a great deal of discussion about Formosa but that he had informed Mr. Churchill that the new administration would want to change the mission of the Seventh Fleet so as to take away the prohibition against any attack on the mainland as an adjunct to the Chinese communists when they are attacking us.

Mr. Churchill at first said this was a good way of putting it and he understood it but later he told Mr. Dulles that he hoped there would be an exchange of views between the governments on this subject. Mr. Dulles informed Mr. Churchill that he was informing him officially as of now and also warning him that there may be a statement of this in General Eisenhower's inauguration address.[5]

[5] On Jan. 30 Presidential Assistant Cutler sent a memorandum to Under Secretary Smith stating that he had asked the President about his meetings with Churchill in New York. President Eisenhower said that his talks were not devoted to specific issues and thought there was nothing sufficiently concrete discussed to warrant informing the personnel of the new Administration. (Memorandum by Cutler; Conference files, lot 59 D 95, CF 135)

No. 374

[illegible]

Memorandum of Conversation, by the Secretary of State

CONFIDENTIAL [WASHINGTON,] January 8, 1953.

This afternoon at 4:00 o'clock the President received Prime Minister Churchill, who was accompanied by the British Ambassador, Sir Roger Makins. The President had with him the Secretary of State, the Secretary of the Treasury, the Secretary of Defense and the Director of Mutual Security, Mr. Averell Harriman.

The meeting was a social and most friendly one. Matters of international importance were touched on only in passing. The President and the Prime Minister recalled their meeting in Potsdam and the next meeting, which was the trip to Fulton, Missouri for Mr. Churchill's speech.

The Prime Minister expressed his gratitude to the President for making the *Independence* available for his flight from New York to Washington and to Jamaica. He expressed his great appreciation of